PHILLIPS CURVE

A graphic curve depicting an empirical observation of the relationship between the level of unemployment and the rate of change of money wages and, by inference, the rate of change of prices.

It was in 1958 that an economist from New Zealand, A. W. H. Phillips (1914–75) proposed that there was a trade-off between inflation and unemployment–the lower the unemployment rate, the higher the inflation rate–governments simply need to choose the right balance between the two evils.

PIGGYBACK LOAN

A term associated with mortgage business got popular in the wake of the US subprime crisis mid-2007. Piggyback loan is a second mortgage enabling a borrower to buy a house with little or no equity.

PIGOU EFFECT

Named after Arthur Cecil Pigou (1877–1959), a sort of wealth effect resulting from deflation/disinflation (i.e., price fall) – a fall in price level increases the real value of people's money, making them wealthier inducing increased spending by them; higher demand creation leads to higher employment.

PFRDA

In 2002–03, the government announced its intention to move toward a new pension scheme. The reason for this change was the growing liabilities of both the Central and state governments on account of pension payments. These liabilities are discharged by the government out of general revenues, instead of a specific dedicated sustainable fund. Recognising the inherent